

POLICY FOR DETERMINATION OF MATERIALITY OF EVENTS AND INFORMATION

(Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended)

1. PREAMBLE

This Policy for Determination of Materiality of Events and Information ("Policy") has been formulated and adopted by the Board of Directors of **Avance Technologies Limited** ("Company") in accordance with the requirements of **Regulation 30 read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015**, as amended from time to time ("Listing Regulations"), along with applicable circulars, notifications and guidance notes issued by the Securities and Exchange Board of India ("SEBI").

The Listing Regulations cast an obligation on listed entities to disclose events or information which, in the opinion of the Board of Directors of the Company, are material. The concept of materiality is fundamental to ensuring that investors are provided with adequate, accurate and timely information to make informed investment decisions and to ensure that there is no creation of a false market in the securities of the Company.

Accordingly, this Policy lays down a structured framework for:

- Identification of material events and information;
- Determination of materiality thresholds (both qualitative and quantitative);
- Timely disclosure of such events to the Stock Exchanges; and
- Ensuring uniformity, consistency and transparency in disclosures.

2. OBJECTIVE

The primary objectives of this Policy are:

- To ensure **timely, adequate and accurate disclosure** of material events and information to Stock Exchanges;
- To establish a **systematic approach for determining materiality**;
- To provide **clarity to Key Managerial Personnel (KMPs)** and senior management in identifying and reporting material events;
- To safeguard the interests of investors and maintain **fair disclosure practices**;
- To ensure compliance with **Regulation 30 and other applicable provisions** of the Listing Regulations; and
- To avoid selective disclosure and prevent the establishment of a **false or misleading market** in the securities of the Company.

3. DEFINITIONS

Unless the context otherwise requires:

- **"Act"** means the Companies Act, 2013 and rules made thereunder;
- **"Board"** means the Board of Directors of the Company;

Avance Technologies Limited
CIN: L51900MH1985PLC035210

Reg. Off: 404, Corporate Annexe, Sonawala Road, Goregaon (East), Mumbai, Maharashtra – 400 063

Phone No.: +91 9594988351 Email: info@avance.in | avancetechnologiesltd@gmail.com | Website: www.avance.in

- “**Company**” means Avance Technologies Limited;
 - “**Key Managerial Personnel (KMP)**” shall have the meaning assigned under the Act and Listing Regulations;
 - “**Listing Regulations**” means SEBI (LODR) Regulations, 2015, as amended;
 - “**Material Event/Information**” means any event or information required to be disclosed pursuant to Regulation 30 read with Schedule III;
 - “**Stock Exchange(s)**” means the recognized stock exchange(s) where the securities of the Company are listed.
-

4. SCOPE AND APPLICABILITY

This Policy shall apply to all events and information which are required to be disclosed by the Company under Regulation 30 read with Schedule III of the Listing Regulations, including:

- Events specified in **Para A (deemed material events)**;
- Events specified in **Para B (subject to materiality assessment)**;
- Any other event or information which may be considered material by the Company; and
- Events occurring in **subsidiaries**, if material to the Company.

The Policy shall be applicable to all Directors, KMPs, senior management personnel and such other employees who are responsible for identification and reporting of material events.

5. CLASSIFICATION OF EVENTS AND INFORMATION

5.1 Deemed Material Events (Para A)

Events specified in Para A of Part A of Schedule III of the Listing Regulations shall be **considered material by default** and shall be disclosed to the Stock Exchanges **without applying any materiality test**.

5.2 Material Events Subject to Test (Para B)

Events specified under Para B shall be disclosed upon application of materiality criteria as specified in this Policy.

5.3 Residual Events

Any other event or information which:

- is not explicitly covered under Para A or Para B; but
- is likely to materially affect the business, operations, financial performance or reputation of the Company; or
- is necessary to enable investors to make informed decisions;

Avance Technologies Limited
CIN: L51900MH1985PLC035210

Reg. Off: 404, Corporate Annexe, Sonawala Road, Goregaon (East), Mumbai, Maharashtra – 400 063

Phone No.: +91 9594988351 Email: info@avance.in | avancetechnologiesltd@gmail.com | Website: www.avance.in

shall be considered for disclosure based on materiality assessment.

5.4 Events Relating to Subsidiaries

Events occurring in subsidiaries (including overseas subsidiaries) shall be disclosed if they are material to the Company.

6. CRITERIA FOR DETERMINATION OF MATERIALITY

The Company shall determine materiality of events/information based on the following criteria:

6.1 Qualitative Criteria

An event/information shall be considered material if:

- The omission of such event/information is likely to result in **discontinuity or alteration of information already available publicly**; or
 - The omission is likely to result in a **significant market reaction** if the said omission comes to light at a later date.
-

6.2 Quantitative Criteria (as per latest SEBI amendments)

An event/information shall be considered material if its value or expected impact exceeds the **lower of the following thresholds**:

- 2% of turnover (as per last audited consolidated financial statements);
 - 2% of net worth (except where net worth is negative);
 - 5% of the average of absolute value of profit or loss after tax for the last three years;
 - **₹1,000 crore.**
-

6.3 Residual Discretion

Where the above criteria are not applicable, the materiality shall be determined by the **Board of Directors or authorised KMPs**, based on their judgement, considering qualitative aspects and overall impact.

7. GUIDANCE ON OCCURRENCE OF EVENTS

The timing of occurrence of an event or information shall be determined as follows:

Avance Technologies Limited
CIN: L51900MH1985PLC035210

Reg. Off: 404, Corporate Annexe, Sonawala Road, Goregaon (East), Mumbai, Maharashtra – 400 063

Phone No.: +91 9594988351 Email: info@avance.in | avancetechnologiesltd@gmail.com | Website: www.avance.in

- **Decision-based events:** Occur upon approval by the Board or competent authority;
 - **Events requiring shareholder approval:** Disclosure shall be made upon Board approval, subject to subsequent shareholder approval;
 - **External events** (e.g., natural calamities, regulatory actions): Occur when the Company becomes aware of such events;
 - **Ongoing negotiations:** Disclosure may be made at appropriate stages, depending on materiality and certainty.
-

8. AUTHORITY FOR DETERMINATION AND DISCLOSURE

The Board authorises the following **Key Managerial Personnel (KMPs)**:

- Managing Director
- Chief Financial Officer (CFO)
- Company Secretary & Compliance Officer

Responsibilities:

- Determination of materiality of events/information;
- Approval and dissemination of disclosures to Stock Exchanges;
- Ensuring compliance with timelines;
- Responding to queries from Stock Exchanges;
- Maintaining coordination with internal departments.

The contact details of authorised KMPs shall be **disclosed to Stock Exchanges**.

9. DISCLOSURE TIMELINES

The Company shall disclose material events/information as follows:

- **Within 30 minutes** from conclusion of Board Meeting (for decisions);
- **Within 12 hours** for events originating within the Company;
- **Within 24 hours** for events originating outside the Company.

Where specific timelines are prescribed under Schedule III, the same shall be followed.

Any delay in disclosure shall be accompanied by **proper explanation**.

10. CONTINUOUS DISCLOSURE REQUIREMENT

The Company shall:

- Provide **regular updates** on material developments;
 - Continue disclosures till the event is **resolved or closed**;
 - Ensure that disclosures are **accurate, complete and not misleading**.
-

11. SPECIFIC MATERIAL EVENTS (ILLUSTRATIVE LIST)

The following events shall ordinarily be considered material:

- Cyber security incidents and data breaches;
 - Fraud, defaults or irregularities involving the Company or KMPs;
 - Agreements impacting control or management;
 - Change in KMP or senior management;
 - Regulatory actions, litigation or penalties;
 - Significant ESG or sustainability-related developments.
-

12. RUMOUR VERIFICATION

The Company shall, where required:

- Confirm, deny or clarify any **market rumours** or media reports;
 - Comply with regulatory requirements applicable to such verification.
-

13. DISCLOSURE OF SUBSIDIARY EVENTS

Material events in subsidiaries shall be disclosed where such events are material to the Company.

14. DISSEMINATION AND WEBSITE DISCLOSURE

- All disclosures shall be promptly submitted to Stock Exchanges;
- Simultaneously hosted on the Company's website;
- Maintained for a minimum period of **five years**, and thereafter archived.

15. DOCUMENTATION AND RECORD KEEPING

All disclosures and supporting documents shall be:

- Properly recorded and maintained;
 - Available for regulatory review and audit purposes.
-

16. REVIEW AND AMENDMENT

This Policy shall be reviewed periodically by the Board and updated to reflect:

- Amendments in Listing Regulations;
- SEBI circulars and guidance;
- Industry best practices.

In case of inconsistency, **statutory provisions shall prevail.**

17. CONTACT DETAILS

Company Secretary & Compliance Officer

Avance Technologies Limited

CIN: L51900MH1985PLC035210

Reg. Off: 404, Corporate Annexe, Sonawala Road, Goregaon (East),
Mumbai, Maharashtra – 400 063

Phone No.: +91 9594988351

Email: info@avance.in | avancetechnologiesltd@gmail.com

Website: www.avance.in

***Note:** This Policy shall be subject to periodic review by the Board of Directors and shall be deemed to be amended in accordance with any changes in the applicable provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and other statutory requirements. In the event of any inconsistency between this Policy and applicable laws, the provisions of such laws shall prevail.*

Avance Technologies Limited

CIN: L51900MH1985PLC035210

Reg. Off: 404, Corporate Annexe, Sonawala Road, Goregaon (East), Mumbai, Maharashtra – 400 063

Phone No.: +91 9594988351 **Email:** info@avance.in | avancetechnologiesltd@gmail.com | **Website:** www.avance.in